



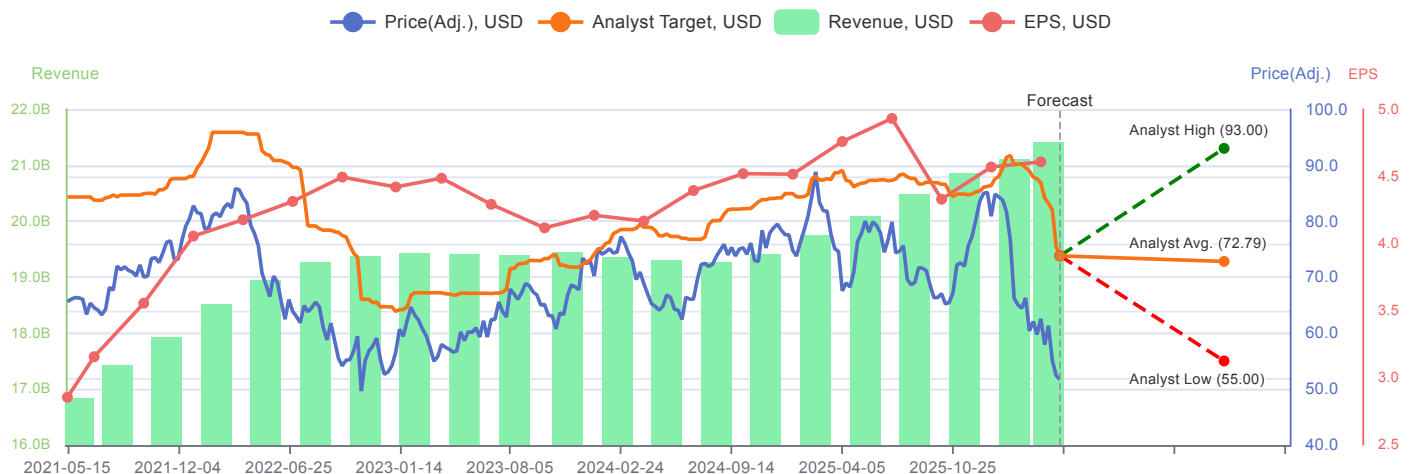
Key Indicators:

🕒 Date: May 14, 2026

Stock Price **\$46.0**

52-Week Range	\$45.5 - \$86.6	EPS Revisions (90d)	↑ 1 ↓ 16	Revenue	\$21.4B
Market Cap	\$21.8B	PEG Ratio	-3.58	Revenue Forecast	\$22.3B
P/E Ratio	9.77	FCF Yield	11.3	1-Year Change	-41.7%
P/E (Fwd.)	9.01	EV / EBITDA	5.49	Div Yield	2.87%
EPS Actual	5.28	Book / Share	31.5	Div. Growth Streak	6 years
EPS Estimate	5.70	Beta (5Y)	0.80	Next Earnings	2026-08-05

5-Year Chart



Executive Summary

WarrenAI

Cognizant Technology Solutions Corp (NASDAQ: CTSH) is a leading IT services provider operating globally, specializing in digital transformation, AI integration, and industry-specific solutions across healthcare, financial services, and technology sectors.

The company reported **Q1 2026 results with revenue of \$5.41 billion (up 5.8% y/y, 3.9% constant currency) and adjusted EPS of \$1.40, beating consensus of \$1.33**. Despite the earnings beat, shares fell approximately 4-5% in premarket trading due to **Q2 revenue guidance of \$5.45-\$5.52B coming below consensus expectations of \$5.56B**, reflecting cautious client IT spending amid macroeconomic uncertainty. The stock has declined **33% year-to-date**, trading near its 52-week low.

On a positive note, Cognizant demonstrated **exceptional bookings momentum with 21% year-over-year growth**, signing seven large deals over \$100M including one mega deal exceeding \$500M. The company's *Financial Services segment showed robust double-digit growth at 12.4%*, though Health Sciences growth decelerated sharply to 0.5% from 11.4% in Q1 2025. The company announced **Project Leap**, a restructuring program expected to deliver \$200-300M in savings during 2026 (with two-thirds reinvested), enabling raised full-year adjusted operating margin guidance to 16.0-16.2%.

Cognizant's **AI Builder strategy** continues gaining traction with over 5,000 AI engagements and 40% of code now AI-assisted. The announced **acquisition of Astreya**, an AI infrastructure and managed services provider, strengthens capabilities in data center services and AI infrastructure. However, concerns remain regarding **declining cash flow (operating cash flow down 31.5% to \$274M)**, deceleration in growth rates, and **16 analysts revising earnings downward for upcoming periods**. The company maintains a *forward P/E of 9.01 and trades significantly below its fair value of \$84.13*, suggesting potential undervaluation despite near-term headwinds.

Fair Value

Upside	82.7%
Fair Value	\$84.1

Financial Health

4.7/10

Growth Rating

7.2/10

Profitability Rating

6.4/10

Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	31/12	31/12	31/12	31/12	31/12
Capitalization	\$37.9B	\$38.1B	\$40.1B	\$21.8B	\$21.8B
P/E Ratio	18.1	16.9	18.8	9.01	8.47
Div. Yield	1.59	1.59	1.50	2.87	-
Capitalization / Revenue	1.95	1.96	1.92	1.09	1.04
EV / Revenue	1.90	1.96	1.86	1.06	1.01
EV / EBITDA	10.8	10.9	10.3	5.75	5.37
EV / FCF	17.9	21.3	15.8	-	-
FCF Yield	5.19	4.32	6.62	-	-
Price / Book	2.94	2.64	2.69	1.45	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

🦖 Management has been aggressively buying back shares

🦖 High shareholder yield

🦖 Has raised its dividend for 6 consecutive years

🦖 RSI suggests the stock is in oversold territory

🦖 Valuation implies a strong free cash flow yield

🦖 Prominent player in the IT Services industry

🦖 Cash flows can sufficiently cover interest payments

🦖 Has maintained dividend payments for 10 consecutive years

🦖 Liquid assets exceed short term obligations

🦖 Analysts predict the company will be profitable this year

🦖 Profitable over the last twelve months

🗯 16 analysts have revised their earnings downwards for the upcoming period

😞 Stock has taken a big hit over the last week

😞 Stock has fared poorly over the last month

😞 Price has fallen significantly over the last three months

😞 Stock has taken a big hit over the last six months

🔴 Operates with a moderate level of debt

Analyst Projections:

Analyst EPS Forecasts

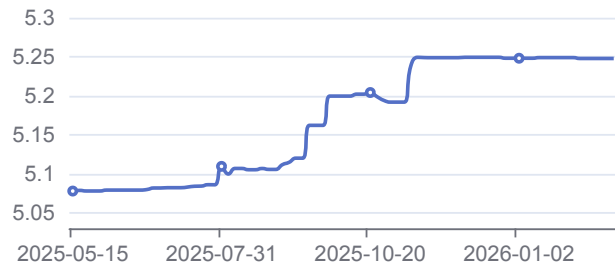
Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2024	5.7	7.6%	9.0x	28
2025	6.06	8.4%	8.5x	28
2026	6.5	9.3%	7.9x	15

EPS Revisions Q2 2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have increased this quarter's expectations by 0.3% for EPS from \$1.26 per share to \$1.26 per share over the last 12 months.

EPS Revisions FY2026



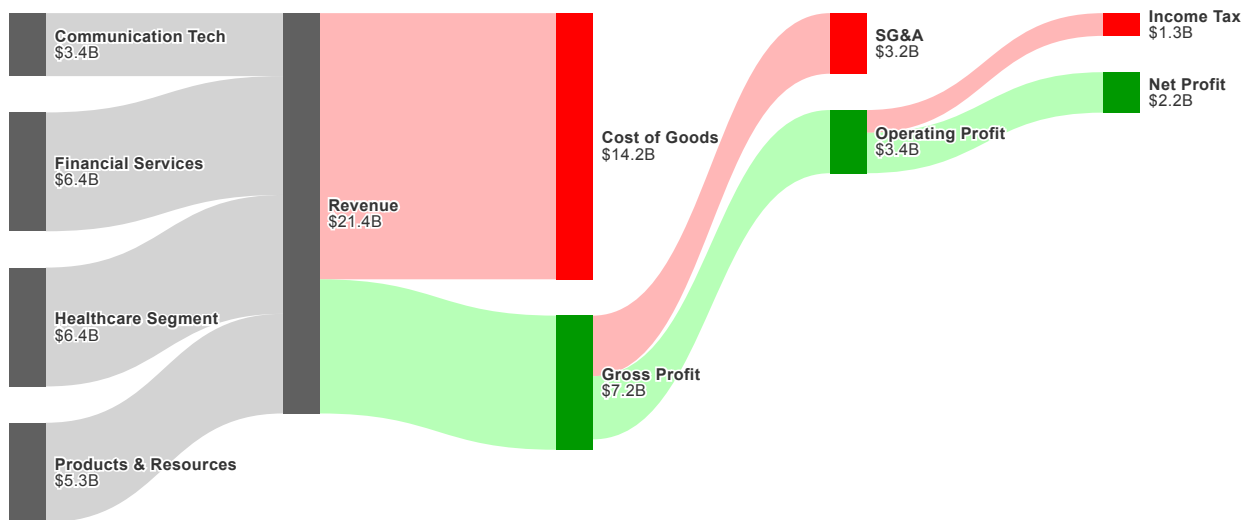
The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 3.3% for EPS from \$5.08 per share to \$5.25 per share over the last 12 months. The company is expected to report earnings for Q2, 2026, on August 05, 2026.

Latest Ratings

Date	Analyst	Rating	Target
May 06, 26	Mizuho	Hold	\$68
May 01, 26	Susquehanna	Buy	\$88
Apr 30, 26	TD Cowen	Hold	\$62
Apr 30, 26	Wells Fargo	Buy	\$83
Apr 30, 26	Wedbush	Hold	\$56
Apr 30, 26	Morgan Stanley	Hold	\$63
Apr 30, 26	Guggenheim	Buy	\$80
Apr 30, 26	Citi	Hold	\$58
Apr 29, 26	BMO Capital	Hold	\$63
Apr 29, 26	Evercore ISI	Buy	\$70
Apr 28, 26	JPMorgan	Buy	\$74
Apr 27, 26	Morgan Stanley	Hold	\$70
Apr 22, 26	Guggenheim	Buy	\$85
Apr 13, 26	UBS	Hold	\$64
Apr 10, 26	Baird	Hold	\$72
Apr 09, 26	Wedbush	Hold	\$61
Apr 05, 26	Nomura/Instinet	Buy	\$92
Mar 13, 26	TD Cowen	Hold	\$71



Y LTM Financials:



* Revenue segments are based on data from 2025-06-30 to 2026-03-31

* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	19,428	19,353	19,736	21,108	21,406
Operating Income	2,968	2,918	3,026	3,327	3,379
Net Income to Stockholders	2,290	2,126	2,240	2,230	2,229
Shares Outstanding	513.9	501.4	495.8	482.6	473.9
Diluted EPS	4.41	4.21	4.51	4.56	4.60
EBITDA	3,500	3,400	3,519	3,834	3,891

Balance Sheet

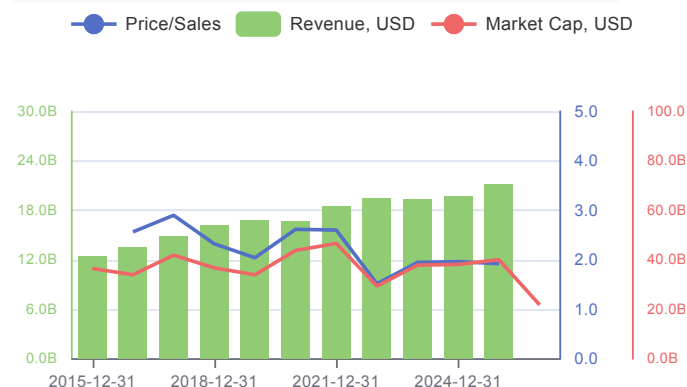
Date	2022	2023	2024	2025	LTM
Total Current Assets	7,266	7,506	7,504	7,818	7,835
Total Assets	17,852	18,483	19,966	20,692	20,500
Total Current Liabilities	3,347	3,333	3,585	3,659	3,520
Total Liabilities	5,543	5,256	5,558	5,677	5,432
Total Equity	12,309	13,227	14,408	15,015	15,068
Total Debt	1,547	1,339	1,503	1,174	1,092

Cash Flow Statement

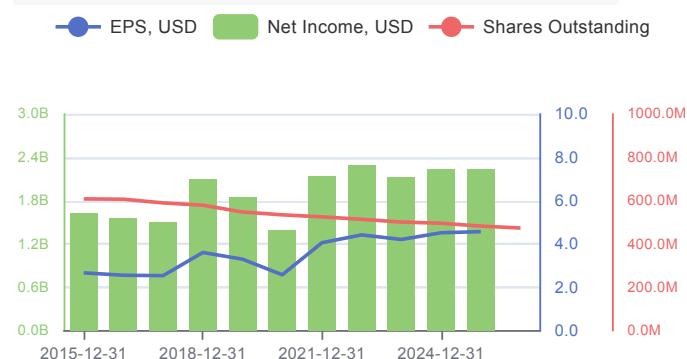
Date	2022	2023	2024	2025	LTM
Cash from Operations	2,568	2,330	2,124	2,883	2,757
Cash from Investing	-106.0	-331.0	-1,646	-230.0	-1,029
Cash from Financing	-1,939	-1,609	-915.0	-2,272	-2,212
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

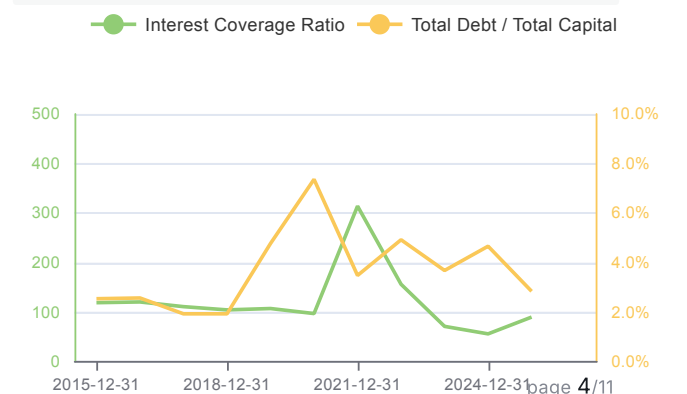
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares

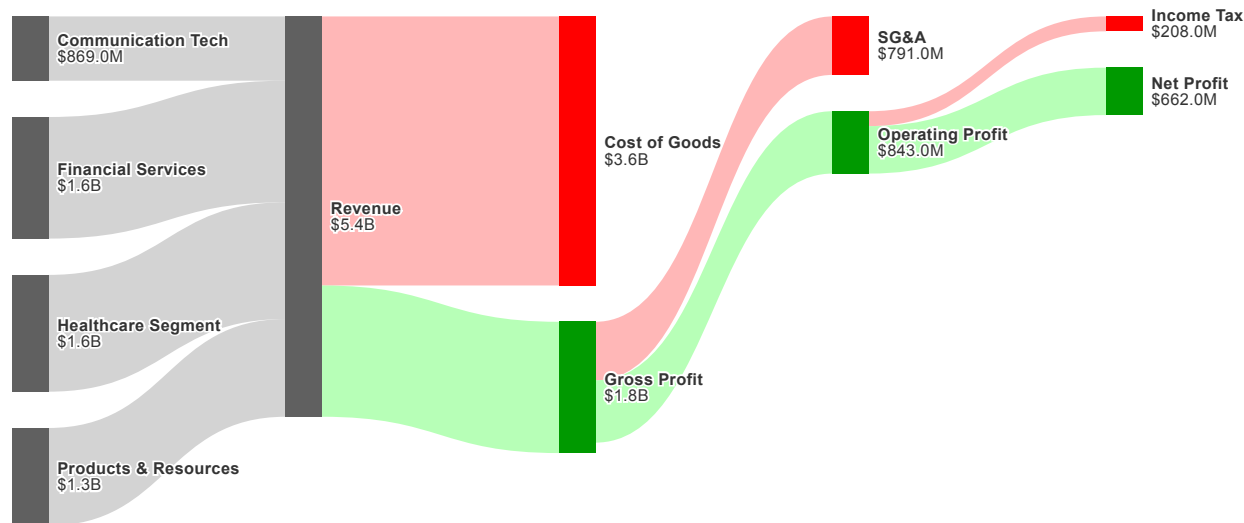


Leverage and Debt





Q1 Financials



* Revenue segments are based on data from 2026-03-31

* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Revenue	5,115	5,245	5,415	5,333	5,413
Operating Income	791.0	817.0	866.0	853.0	843.0
Net Income to Stockholders	663.0	645.0	274.0	648.0	662.0
Shares Outstanding	494.6	492.9	488.4	482.6	478.2
Diluted EPS	1.34	1.31	0.56	1.35	1.39
EBITDA	927.0	956.0	1,001	950.0	984.0

Balance Sheet

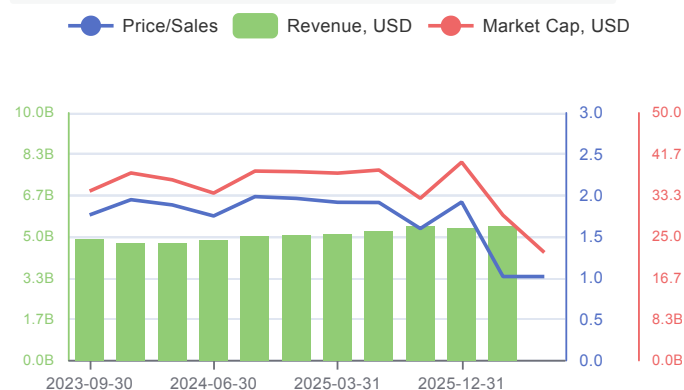
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Total Current Assets	7,545	7,606	8,094	7,818	7,835
Total Assets	19,967	20,164	20,134	20,692	20,500
Total Current Liabilities	3,406	3,156	3,433	3,659	3,520
Total Liabilities	5,068	4,876	5,237	5,677	5,432
Total Equity	14,899	15,288	14,897	15,015	15,068
Total Debt	1,179	1,177	1,170	1,174	1,092

Cash Flow Statement

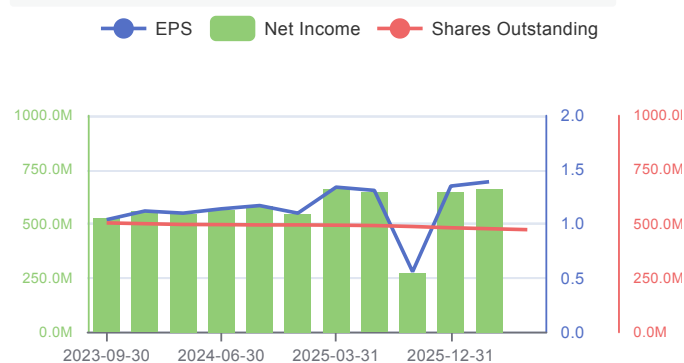
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Cash from Operations	400.0	398.0	1,227	858.0	274.0
Cash from Investing	-7.0	-82.0	-66.0	-75.0	-806.0
Cash from Financing	-657.0	-516.0	-612.0	-487.0	-597.0
Levered Free Cash Flow	0.0	0.0	0.0	0.0	198

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

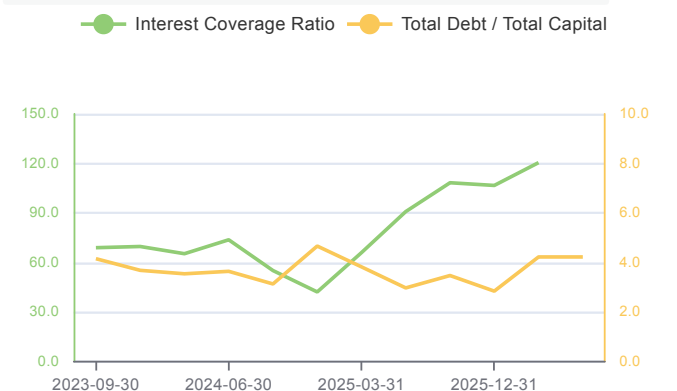
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

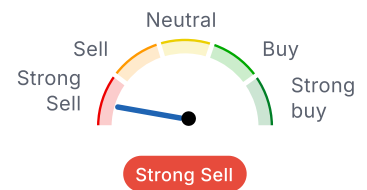
Price Momentum

Metric	CTSH	Percentile	Score
Price % of 52 Week High	53.1%	22.9%	1.1
1 Week Price Total Return	-11.5%	7.6%	0.4
2 Week Price Total Return	-13.1%	6.4%	0.3
3 Week Price Total Return	-16.6%	5.1%	0.3
1 Month Price Total Return	-23.4%	2.0%	0.1
3 Month Price Total Return	-30.6%	3.7%	0.2
6 Month Price Total Return	-36.1%	10.9%	0.5
1 Year Price Total Return	-41.8%	14.1%	0.7
2 Year Price Total Return	-29.9%	25.1%	1.3
3 Year Price Total Return	-21.6%	28.0%	1.4
4 Year Price Total Return	-33.0%	28.1%	1.4
5 Year Price Total Return	-29.9%	37.8%	1.9

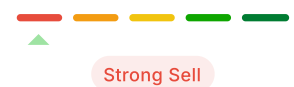
Peers

EPAM	ACN
40.6%	50.6%
-13.3%	-11.4%
-20.6%	-10.7%
-25.2%	-10.5%
-29.1%	-16.1%
-45.7%	-28.2%
-49.5%	-34.0%
-51.0%	-48.9%
-51.7%	-45.7%
-60.6%	-38.9%
-71.7%	-40.0%
-80.0%	-39.6%

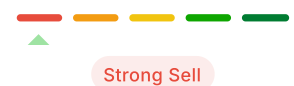
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	CTSH	EPAM	ACN
Market Cap	\$21.8B	\$4.7B	\$100.7B
Price % of 52 Week High	52.8%	40.6%	49.3%
Div Yield	2.87%	0%	3.98%
Beta	0.80	1.45	1.07
1 Year Return	-41.7%	-51.4%	-47.5%

Growth Metrics

Metric	CTSH	EPAM	ACN
Revenue Growth	6.55%	14.2%	7.27%
Revenue CAGR (5y)	4.86%	15.5%	9.47%
Net Income Growth	-5.43%	-6.08%	-0.46%
Net Income CAGR (5y)	9.88%	2.91%	8.49%
Revenue Forecast CAGR (5y)	4.42%	4.75%	6.26%
Net Income Forecast CAGR (5y)	8.90%	12.6%	8.86%

Financial Statement Metrics

Metric	CTSH	EPAM	ACN
Revenue	\$21.4B	\$5.6B	\$72.1B
Gross Profit	\$7.2B	\$1.6B	\$23.1B
Operating Income	\$3.4B	\$606.8M	\$11.3B
Gross Profit Margin	33.5	29.1	32.0
Net Income to Common	\$2.2B	\$386.7M	\$7.6B
ROE	14.9	10.9	25.3
ROI	15.3	13.1	23.1
ROA	11.0	8.20	12.3
Total Assets	\$20.5B	\$4.7B	\$67.1B
Total Debt	\$1.1B	\$287.9M	\$8.3B

Valuation Metrics

Metric	CTSH	EPAM	ACN
P/E Ratio (LTM)	9.77	12.2	12.8
PEG Ratio	-3.58	-1.07	20.9
Price / Book	1.45	1.38	3.14
Price / LTM Sales	1.02	0.85	1.36
Analyst Upside	39.4%	71.1%	39.5%
Fair Value Upside	82.7%	10,021.0%	7,889.0%

Latest Insights

Warren AI

Bull Case

- Strong bookings momentum with 21% year-over-year growth in Q1 26, including seven large deals over \$100M TCV and one mega deal exceeding \$500M, with trailing twelve-month bookings reaching \$29.6B representing 1.4 book-to-bill ratio.
- Financial Services segment demonstrating robust double-digit constant currency growth of over 10%, driven by strong demand across banking and insurance clients with sustained large deal momentum in North America.
- AI Builder strategy resonating with over 5,000 AI engagements (up from 4,000 in Dec 25), 40% of code AI-assisted, and expanding token metering capabilities creating new revenue models blending human and digital labor.
- Project Leap expected to deliver \$200-300M savings in partial year 26 with full-year benefits in 27, enabling raised operating margin guidance to 16.0-16.2% (20-40 basis points expansion) while funding growth investments.
- Strategic acquisitions (3Cloud, Astreya) adding approximately 150 basis points to 26 revenue growth, with Astreya bringing AI infrastructure buildout capabilities and outcome-based pricing models aligned with platforms strategy.
- Stock trading at attractive valuation with forward P/E of 9.01, current price of \$46.05 significantly below fair value estimate of \$84.13, and analysts' medium target of \$72.79 suggesting 58% upside potential.

Bear Case

- Q2 26 revenue guidance of \$5.45-5.52B came substantially below consensus of \$5.56B, reflecting approximately 2.5% organic growth at midpoint and heightened macroeconomic uncertainty causing cautious client IT spending.
- Revenue growth decelerated sharply to 3.9% constant currency in Q1 26 from 8.2% in Q1 25, with Health Sciences segment showing minimal 0.5% growth versus 11.4% prior year, missing estimates of \$1.66B at \$1.58B.
- Operating cash flow declined 31.5% to \$274M from \$400M in Q1 25, while free cash flow decreased to \$198M from \$393M, raising concerns about cash generation capability despite revenue growth.
- Stock down 33% year-to-date trading near 52-week low of \$45.48, with 16 analysts revising earnings downward for upcoming periods and technical indicators showing strong sell signals across moving averages and indicators.
- Project Leap restructuring requires \$230-320M in non-GAAP charges largely for workforce reduction, creating near-term margin pressure and execution risk during transformation to AI-enabled operating model.
- Geographic concentration with approximately 72% of revenue from North America creates vulnerability to U.S. economic cycles, while gross margin decreased 80 basis points year-over-year due to integrated offerings and increased compensation costs.

Additional Insights

- Company announced definitive agreement to acquire Astreya, an AI-first IT managed services provider operating in 35+ countries serving six of seven largest hyperscale technology companies, expected to close Q2 26.
- Cognizant hiring greater number of fresh college graduates in 26 versus 25 (approximately 20,000 in 25) to reshape pyramid structure with broader base and shorter path to expertise, supporting AI-native delivery model.
- Quarterly bookings increased 21% year-over-year representing one of strongest performances in recent history, with annual contract value flat as deal duration increased reflecting large deal mix and softness in smaller discretionary projects.
- Full-year 26 revenue guidance maintained at \$22.11-22.64B (4.0-6.5% constant currency growth) with adjusted EPS guidance raised to \$5.70 midpoint from \$5.63, bracketing consensus of \$5.65.
- Company launched Cognizant Innovation Network, new corporate investment arm backing early-stage AI startups focused on AI, data, cybersecurity, and cloud technologies to complement internal platform development.
- Adjusted operating margin expanded 10 basis points year-over-year to 15.6% in Q1 26 despite integrated offering impacts and M&A investments, marking fifth consecutive quarter of year-over-year margin expansion.
- Management continues aggressive share buyback program with approximately \$600M returned to shareholders in Q1 26, maintaining commitment to return \$1.6B to shareholders in full year 26 including \$1B in buybacks.



SWOT Analysis

WarrenAI

Strengths

- Deep vertical expertise with dominant positions in Healthcare (28% of revenue, serving nearly all top 25 global pharma companies) and Financial Services showing double-digit constant currency growth.
- Robust AI integration with over 5,000 AI engagements, 40% of code AI-assisted, Cognizant Neuro platform, and AI Research Lab holding 88 patents globally demonstrating technology leadership.
- Strong global delivery network with 357,600 employees across 50+ countries as of Q1 26, balancing offshore cost savings with nearshore responsiveness for scalable service delivery.
- Consistent margin expansion trajectory with 50 basis points improvement in 25 and raised 26 guidance to 16.0-16.2% (20-40 bps expansion) while maintaining investments in growth initiatives.

Weaknesses

- Geographic revenue concentration with approximately 72% from North America creating vulnerability to U.S. economic cycles and policy shifts, with non-U.S. growth lagging.
- Operating cash flow declined 31.5% year-over-year to \$274M and free cash flow decreased to \$198M from \$393M, raising concerns about cash generation efficiency.
- Health Sciences segment growth decelerated sharply to 0.5% in Q1 26 from 11.4% constant currency growth in Q1 25, with revenue of \$1.58B missing estimates of \$1.66B.
- Gross margin decreased 80 basis points year-over-year due to integrated offerings, increased compensation costs, and bench investments, requiring Project Leap to drive improvements.

Opportunities

- Accelerated enterprise AI adoption with expanding opportunities across three vectors: AI-led productivity, industrializing AI, and agentifying enterprise operations creating multi-trillion dollar addressable market.
- Project Leap program expected to deliver \$200-300M savings in 26 with full-year benefits in 27, funding investments in AI capabilities, platforms, and workforce upskilling while expanding margins.
- Strategic acquisitions pipeline remains healthy with focus on platforms, outcome-based models, and AI capabilities following successful 3Cloud and Astreya deals contributing 150 bps to growth.
- Emerging Physical AI opportunity at convergence of Agentic AI and enterprise intelligence enabling autonomous operations across sectors, with Cognizant investing in architecture and industrial domain expertise.

Threats

- Heightened macroeconomic uncertainty and cautious client IT spending reflected in Q2 guidance below consensus, with discretionary spending remaining under pressure in near term.
- Intense competitive pressure in IT services market with pricing pressure on traditional services, requiring continuous productivity gains and value demonstration to maintain margins.
- 16 analysts revised earnings downward for upcoming periods, with stock down 33% year-to-date and trading near 52-week lows reflecting negative market sentiment.
- Talent retention challenges with increased voluntary attrition in late 24 and Project Leap workforce reduction of \$200-270M in severance costs creating potential execution and morale risks.

Earnings Call - Q1 2026

04/29/26 | WarrenAI

- Q1 26 revenue of \$5.4B grew 3.9% constant currency with adjusted EPS of \$1.40 beating forecast of \$1.33 by 5.26%, driven by AI Builder strategy and large deal ramps.
- Bookings grew 21% year-over-year with seven large deals over \$100M TCV including one mega deal exceeding \$500M, representing one of strongest booking quarters in recent history.

Bullish Highlights

- Financial Services segment grew over 10% year-over-year in constant currency driven by strong demand across banking and insurance with sustained North America momentum.
- AI Builder strategy gaining traction with 40% of code AI-assisted, token metering at project and individual levels, and emerging tokenized rate cards blending human and digital labor.
- Astreya acquisition closing Q2 26 adds AI infrastructure buildout capabilities, data center services, and outcome-based pricing models (per-user basis) strengthening platforms strategy.
- Large deal transitions from Q4 25 and Q1 26 starting to unlock in Q2-Q3 creating production capacity tailwind, with two full quarters of Astreya contribution driving second half.

Q&A Highlights

- Management addressed token metering evolution with A0-A3 classification system (human-only to autonomous digital labor), seeing clients willing to let Cognizant manage both human and digital labor economics.
- Executives emphasized confidence in second half driven by large deal ramps reaching full potential starting June-July, two full quarters of Astreya, and assumed discretionary spending improvement.
- CEO highlighted consolidation opportunities where Cognizant winning deals by sharing AI productivity with clients while maintaining healthy bid margins over past three years.
- CFO explained gross margin investments in Q1 across bench buildup, integrated service offerings with higher element costs, and one-month impact of November salary increases.

- Project Leap restructuring program announced to accelerate transformation, expected to deliver \$200-300M savings in 26 with \$230-320M in charges, two-thirds of savings reinvested in growth.
- Full-year 26 adjusted operating margin guidance raised to 16.0-16.2% representing 20-40 basis points expansion, with EPS guidance of \$5.63-5.77 representing 7-9% growth.

Bearish Highlights

- Q2 26 revenue guidance of \$5.45-5.52B came below consensus of \$5.56B reflecting cautious discretionary spending and approximately 2.5% organic growth at midpoint.
- Market conditions more complex since start of year with heightened macroeconomic uncertainty expected to persist in near term, causing clients to delay large investments.
- Gross margin decreased 80 basis points year-over-year due to integrated offerings, compensation costs, and bench investments, requiring Project Leap improvements.
- Communications media and technology segment pressured by client-specific dynamics and strategic shifts at large customer, with measured environment in comms and media sector.

Misses

- Stock fell 3.86-4.75% in premarket trading to \$52.99 despite earnings beat, reflecting investor concerns over weak Q2 guidance and full-year revenue outlook.
- Operating cash flow declined 31.5% to \$274M from \$400M and free cash flow decreased to \$198M from \$393M year-over-year, missing cash generation expectations.
- Health Sciences revenue of \$1.58B missed estimates of \$1.66B with growth decelerating sharply to 0.5% from 11.4% constant currency in Q1 25.
- Annual contract value flat as deal duration increased in quarter, reflecting continued softness in smaller discretionary projects despite strong large deal momentum.



Top News, last 60 days:

[Evercore ISI Cuts Cognizant Price Target to \\$70 from \\$100, Maintains Outperform Rating](#)

April 29, 2026

- Evercore ISI lowered Cognizant Technology Solutions (CTSH) price target to \$70 from \$100 while maintaining an Outperform rating.
- CTSH reported Q1 revenue of \$5.41B (up 5.8% y/y, +3.9% at constant currency including 90bps from 3Cloud acquisition) and EPS of \$1.40 versus consensus of \$5.41B/\$1.33.
- Q2 revenue guidance of \$5.455.52B came below consensus of \$5.56, reflecting approximately 2.5% y/y organic growth at midpoint, while CY26 constant currency revenue growth outlook remained mostly unchanged at up 4.06.5% y/y (approximately 5.3% organic).
- EPS guidance increased to \$5.70 at midpoint from \$5.63 prior, reflecting Q1 beat and higher margin expectations from Project Leap benefits.
- Project Leap will drive \$200300M of partial year savings for 2026 (with 2/3 of gross savings reinvested) but requires a \$230320M nonGAAP charge.
- CTSH announced intent to acquire Astreya, an AI infrastructure and data center services IT managed services provider, with expected close in Q2.

Importance - 6/10

Neutral

[Cognizant Q1 2026 EPS beats expectations but revenue growth decelerates sharply amid cash flow concerns](#)

April 29, 2026

- Cognizant reported Q1 2026 revenue of \$5.41 billion on Wednesday, April 29, 2026, representing 5.8% reported growth and 3.9% constant currency growth, decelerating from 8.2% constant currency growth in Q1 2025.
- Adjusted diluted EPS reached \$1.40, beating the forecasted \$1.33 and up from \$1.23 in Q1 2025, while adjusted operating margin remained stable at 15.6%.
- The stock fell 3.86% to \$52.99 in premarket trading on Wednesday, April 29, 2026, and was down 33% yeartodate.
- Operating cash flow declined 31.5% to \$274 million from \$400 million in Q1 2025, while free cash flow decreased to \$198 million from \$393 million.
- Financial Services revenue grew 12.4% to \$1.64 billion, while Health Sciences showed minimal 0.5% growth to \$1.58 billion, decelerating from 11.4% constant currency growth in Q1 2025.
- Quarterly bookings increased 21% yearoveryear with seven large deals signed including one mega deal over \$500 million; trailing twelvemonth bookings reached \$29.6 billion.

Importance - 6/10

Neutral

[Cognizant Q1 2026 beats EPS expectations but stock falls 3.86% on macro concerns](#)

April 29, 2026

- Cognizant reported Q1 2026 revenue of \$5.4 billion (up 3.9% YoY in constant currency) and adjusted EPS of \$1.40, exceeding the \$1.33 forecast by 5.26%.
- Stock fell 3.86% in premarket trading on Wednesday, 20260429, to \$52.99, down 33% yeartodate and near its 52week low of \$54.26.
- Financial Services segment grew over 10% YoY in constant currency; Q1 bookings grew 21% YoY with seven large deals over \$100 million TCV including one mega deal exceeding \$500 million.
- Adjusted operating margin increased 10 basis points YoY to 15.6%, while gross margin decreased 80 basis points YoY due to integrated offerings, compensation costs, and bench investments.
- Company announced Project Leap restructuring program expected to deliver \$200\$300 million savings in 2026 with costs of \$230\$320 million, twothirds to be reinvested in growth initiatives.

Importance - 6/10

Neutral

[Cognizant forecasts Q2 revenue below estimates, trims annual outlook amid cautious IT spending](#)

April 29, 2026

- Cognizant forecast currentquarter (Q2) revenue of \$5.45 billion to \$5.52 billion, below analysts' average estimate of \$5.56 billion, citing cautious client IT spending amid macroeconomic uncertainty.
- The company trimmed its annual revenue forecast to \$22.11 billion to \$22.64 billion from prior expectations of \$22.14 billion to \$22.66 billion.
- Firstquarter revenue grew 5.8% to \$5.41 billion, in line with expectations, though health sciences unit revenue of \$1.58 billion missed estimates of \$1.66 billion.
- Cognizant launched Project Leap in Q2 to accelerate its Aldriven model shift, expecting savings of \$200 million to \$300 million in 2026 but incurring restructuring charges of \$230 million to \$320 million largely for workforce reduction.
- Shares fell about 5% in premarket trading on Wednesday, April 29, 2026.

Importance - 6/10

Neutral

Cognizant shares fall 4.75% on weak Q2 and full-year revenue guidance despite Q1 earnings beat

April 29, 2026

- On Wednesday, April 29, 2026, Cognizant reported Q1 adjusted EPS of \$1.40, beating the analyst consensus of \$1.33 by \$0.07, and revenue of \$5.41 billion meeting expectations with 5.8% YoY growth (3.9% in constant currency).
- Cognizant's shares fell 4.75% in premarket trading on Wednesday, April 29, 2026, after issuing Q2 revenue guidance of \$5.45 billion to \$5.52 billion (midpoint \$5.49 billion), below the \$5.56 billion consensus.
- The company projected fiscal 2026 revenue of \$22.11 billion to \$22.64 billion (midpoint \$22.38 billion), below the \$22.36 billion consensus, and fullyear adjusted EPS guidance of \$5.63 to \$5.77 (midpoint \$5.70) bracketing the \$5.65 consensus.
- Cognizant announced Project Leap expected to generate \$200 million to \$300 million in savings during 2026 and raised fullyear adjusted operating margin guidance to 16.0% to 16.2%, representing 20 to 40 basis points expansion versus prior guidance of 10 to 30 basis points.

Importance - 6/10

Neutral

Cognizant to Acquire AI Infrastructure Firm Astreya to Expand Managed Services Capabilities

April 29, 2026

- Cognizant announced on Tuesday, April 28, 2026, a definitive agreement to acquire Astreya, an Alfirst IT managed services provider based in San Jose, California, with financial terms not disclosed.
- Astreya, founded in 2001, operates in over 35 countries and provides managed services to six of the seven largest hyperscale technology companies using its AI OpsHub platform.
- The acquisition will integrate Astreya's AI tooling, productiongrade infrastructure platform, and partnerships with Google Cloud Platform and ServiceNow into Cognizant's global delivery infrastructure.
- The transaction is expected to close in the second quarter of 2026, subject to regulatory approvals and other closing conditions.
- Cognizant's shares are trading at \$55.12, near their 52week low of \$54.26, down () 33% yeartodate, though InvestingPro analysis suggests the company appears undervalued at current levels.

Importance - 6/10

Neutral

Disclaimer

This Investing.com Pro Research Report (the " **Report** ") is a summary report provided to you for general informational purposes only, and should not be considered as investment, legal, tax, accounting or other advice. Investing.com is not a licensed securities dealer, broker, investment adviser, financial service provider or investment bank and we urge you to consult a licensed broker, investment advisor or other appropriate advisor before making any investment. This information does not represent a recommendation to buy or sell any stock or other financial instrument, nor does it reflect the views of Investing.com or its employees. NEITHER INVESTING.COM, NOR ANY OF ITS AFFILIATES AND THEIR RESPECTIVE OFFICERS, EMPLOYEES OR SERVICE PROVIDERS, TAKE ANY RESPONSIBILITY FOR THE RESULTS OF ANY INVESTMENT MADE BY YOU BASED ON THE INFORMATION PROVIDED IN THE REPORT, AND YOU ALONE ASSUME SOLE RESPONSIBILITY FOR ANY SUCH INVESTMENT.

Information included in this Report is provided to us by third party suppliers, and was not independently verified by Investing.com. The Report is based on the most recent data available to us, such as quarterly/annual financial reports of the company, but may not necessarily be the most recent data publicly available. The information included is not real-time data. Certain Portions of this Report are generated by artificial intelligence tools. THE INFORMATION HEREIN IS PROVIDED "AS IS" AND WE DO NOT GUARANTEE OR REPRESENT THAT THE INFORMATION HEREIN IS ACCURATE, COMPLETE, RELIABLE, SUITABLE FOR ANY SPECIFIC PURPOSE. The information included herein is solely indicative and should not be relied on for trading purposes.

It is prohibited to reproduce, publish, display, modify, transmit or distribute the data contained above without our explicit prior written permission. The Report is provided for your personal use only, and is not to be shared with others. All intellectual property rights in the Report are reserved by Investing.com or its third party providers.